

Answer Key — Factors of Production

Final answers with a one-line reason. Full method is in the Notes.

Objective

- Q1 (c) **Interest** — interest is a *reward* for capital, not a factor of production.
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- Q2 (b) **Land** = all natural resources (soil, water, minerals, forests...).
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- Q3 (a) **1-B, 2-A** — labour → wages; capital → interest.
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- Q4 **Human capital** — the skills/knowledge behind labour.
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- Q5 **Dividend** — profit paid to shareholders.
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- Q6 **Kaizen** — Japanese idea of continuous improvement.
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- Q7 (a) Both correct and R explains A — a young population creates the demographic dividend.
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- Q8 (b) **Capital** = money + human-made assets (machinery, tools, buildings).
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- Q9 (b) **J.R.D. Tata** — started Tata Airlines in 1932 (later Air India).
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- Q10 (b) **capital-intensive** — relies more on machinery/capital (e.g. chips, satellites).
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Short Answer

- Q11 Human resource = people who apply knowledge, skills and decision-making to create goods/services. Examples: a scientist, chef, doctor, teacher, police officer (any two).
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- Q12 Land → rent; Labour → wages; Capital → interest; Entrepreneurship → profit.
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- Q13 **Labour** = the physical & mental effort used in production. **Human capital** = the specialised skills, knowledge and expertise (the quality) behind that effort.
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Long Answer

- Q14 **Human capital** = knowledge, skills, experience & abilities of people (built by education, training, health); embodied in people. **Physical capital** = human-made assets (machinery, tools, buildings) and money; can be bought/sold/transferred.
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- Q15 (1) **Education & training** — literacy to expertise, plus hands-on practice; (2) **Healthcare** — good health improves learning & work; (3) **Social/cultural influences** — work ethic like Japan's kaizen or the German focus on quality.
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Q16 (1) Personal savings, family & friends (first source); (2) **Bank loan** — repaid with interest; (3) **Stock market** — big firms sell shares to the public and pay dividends.

Very Long Answer

Q17 **Entrepreneur** = a person who has an idea, takes risks, gathers factors of production and works to make a startup succeed. Five tasks: identifies a problem & is resolute to solve it innovatively; takes risks (money & time); combines the factors of production; makes key operating decisions; contributes to society's welfare (jobs, livelihoods).

OR — Responsibilities: to natural resources — use responsibly, reduce waste, avoid pollution (e.g. leather-factory waste, e-waste with lead/mercury) for future generations; to workers — fair pay & safe conditions, skill development, workplace rights. **CSR:** India was the first country (2014) to mandate spending 2% of average 3-year profit on social/environmental good.

Passage

Q18 (i) **Land** (paying rent for natural resource/location). (ii) **Labour** (hiring staff). (iii) **Interest**.
